

GCE A LEVEL MARKING SCHEME

PREDICTED PAPER – MODERATE

A LEVEL

ECONOMICS – COMPONENT 1

A520U10-1

INTRODUCTION

This marking scheme is designed to be used with the predicted Paper 1 (Moderate). It has been prepared in the style of the WJEC Eduqas marking schemes, with Level-based mark grids for extended questions and indicative content for all questions.

GENERAL MARKING GUIDANCE

Positive Marking

Credit should be given for what the learner writes, rather than penalising omissions. A very good response can achieve full marks; a very poor response can achieve zero marks. The indicative content suggests the range of ideas – it is not exhaustive, and learners do not need to include all indicative content to reach the highest level.

EDUQAS GCE A LEVEL ECONOMICS – COMPONENT 1
PREDICTED MODERATE PAPER MARK SCHEME

Question	Answer
1	B
2	D
3	B
4	D
5	B
6	C
7	A
8	B
9	B
10	B
11	C
12	B
13	C
14	C
15	A
16	C
17	C
18	C
19	B
20	C

21.	Using the diagram, explain why the firm maximises profit at output Q_1 .	Total
	AO1: 2 marks Award 2 marks for good knowledge and understanding that profits are maximised where $MC = MR$, with clear reference to the diagram showing the intersection. Award 1 mark for limited understanding of the profit-maximisation condition. The diagram is not used, or is used incorrectly. AO3: 1 mark Award 1 mark for analysis of why profit is maximised at $MC = MR$, with a clear chain of reasoning linking the condition to the diagram. Indicative content: • At output below Q_1, $MR > MC$, so producing an additional unit adds more to revenue than to cost, increasing total profit. • At output above Q_1, $MC > MR$, so producing more adds more to cost than to revenue, reducing total profit. • Therefore profit is maximised where $MC = MR (Q_1)$, with price read off the AR/D curve at P_1. • Candidates may identify the profit area: $(P_1 - AC \text{ at } Q_1) \times Q_1$.	3

22. Consider the extent to which a cut in Bank Rate from 5% to 2% would be beneficial for the economy. Adapt the diagram as part of your answer. (6 marks)

Band	AO1 (2 marks)	AO3 (2 marks)	AO4 (2 marks)
2	2 marks – Good knowledge Good knowledge that a lower Bank Rate reduces the cost of borrowing and return on saving, stimulating C and I, shifting AD to the right. Clear link to the effect on SRAS/LRAS and price level. Correct adaptation of the diagram showing AD shifting right, with price level and output changes.	2 marks – Good analysis Strong chain of reasoning explaining the transmission mechanism: lower rates → lower cost of borrowing, higher asset prices, weaker exchange rate → higher C, I and (X–M) → AD shifts right → higher real GDP and lower unemployment in the short run.	2 marks – Good evaluation Strong counter-arguments, e.g. risk of demand-pull inflation if economy near capacity; weak transmission if confidence is low (liquidity trap); time lags; dependence on shape of AD and slope of SRAS; depreciation could raise import prices.
1	1 mark – Limited knowledge Some knowledge of how a rate cut affects AD, but with gaps. Diagram has significant missing elements or errors.	1 mark – Limited analysis A chain of reasoning is present but underdeveloped or incomplete.	1 mark – Limited evaluation Evaluation is superficial or lacks detail.
0	0 marks – No valid knowledge	0 marks – No valid analysis	0 marks – No valid evaluation

Indicative content:

- A 3 percentage-point cut in Bank Rate lowers the cost of borrowing for households and firms, encouraging consumption (especially of durables and housing) and investment.
- This shifts AD to the right. In the short run, with spare capacity ($Y_1 < Y_{FE}$), real GDP rises towards Y_{FE} and unemployment falls, with only modest upward pressure on the price level.
- A weaker currency (through reduced 'hot money' inflows) raises export competitiveness, further boosting AD via (X – M).

BUT:

- If the economy is already near full employment, AD shifting right mainly raises the price level (demand-pull inflation) with little real output gain.
- The effectiveness depends on confidence – if households and firms are pessimistic, the multiplier may be weak (similar to a liquidity trap).
- Time lags of 12–18 months for monetary policy to take full effect.
- A weaker pound raises imported inflation, especially for energy and food.
- Low rates over a long period may inflate asset price bubbles and encourage reckless lending.
- Allow any other sensible evaluations.

23.	With the aid of a diagram, comment on the likely price elasticity of supply of Norwegian oil in the short run.	Total
	AO1: 2 marks Award 2 marks for good understanding of PES. Accurate diagram showing inelastic supply (steep SR supply curve). Award 1 mark for limited understanding. Diagram inaccurate or missing. AO2: 1 mark Award 1 mark for effective use of the stimulus (lead time, capital intensity, infrastructure requirements) to support the argument that supply is price inelastic. Indicative content: • Oil extraction has very long lead times (5–10 years from discovery to production) and requires highly capital-intensive infrastructure. • Spare capacity at existing rigs is limited; firms cannot quickly increase output in response to higher prices. • This makes short-run PES highly inelastic ($\% \Delta Q_s < \% \Delta P$); diagram shows a steep supply curve where a large rise in price from P_1 to P_2 produces only a small rise in quantity from Q_1 to Q_2. • In the long run, PES becomes more elastic as new rigs can be built.	3

24.	Explain the shape of this firm's short run total cost curve.	Total
	AO1: 2 marks Award 2 marks for good understanding that the TC curve reflects fixed costs at zero output, increasing returns to the variable factor at low output, and diminishing returns at higher output. Award 1 mark for limited understanding with gaps or confusion; limited use of the diagram. AO3: 2 marks Award 2 marks for a strong chain of reasoning linking the TC shape to the underlying economic concepts. Award 1 mark for a chain of reasoning that is unconvincing or lacks detail. Indicative content: • At zero output, the firm still incurs fixed costs of £500 (rent, equipment depreciation) – TC intercepts the vertical axis at £500, not the origin. • As output initially rises, TC grows relatively slowly due to increasing marginal returns to the variable factor (e.g. labour); specialisation and division of labour allow efficient use of the fixed factor (ovens). • At higher output levels, TC rises more steeply because of diminishing marginal returns – the fixed factor (ovens, workspace) becomes overused, and additional workers add progressively less to output. • The characteristic 'S-shaped' TC curve: shallow slope at low output → steeper slope at high output.	4

25. With reference to the matrix and economic theory, discuss whether or not governments should coordinate climate policy internationally. (8 marks)

Band	AO2 (3 marks)	AO3 (2 marks)	AO4 (3 marks)
3	3 – Excellent application Matrix well used; both A and B's dominant strategies identified; employment numbers referenced explicitly.		3 – Excellent evaluation Strong counter-argument using economic theory (game theory, public goods, free-riding). Genuinely balanced judgement.
2	2 – Good application Matrix used; both A and B's strategies discussed.	2 – Good analysis Strong line of argument for why international coordination is in principle beneficial.	2 – Good evaluation Strong counter-argument; use of economic theory more limited.
1	1 – Limited application Incomplete or inaccurate understanding of the matrix.	1 – Limited analysis Chain of reasoning present but underdeveloped.	1 – Limited evaluation Counter-arguments present but underdeveloped.
0	0	0	0

The grid assumes the main line is in favour of coordination, but the answer is fully reversible.

Indicative content:

AO2:

- For Country A, 'No Carbon Tax' is a dominant strategy: if B taxes, A gains +40 (vs –10); if B does not tax, A gains +5 (vs –50).
- For Country B, 'No Carbon Tax' is also a dominant strategy: if A taxes, B gains +30 (vs –15); if A does not tax, B gains +10 (vs –40).
- The Nash equilibrium is (No Tax, No Tax) yielding (+5, +10) – but the jointly optimal outcome might be (Tax, Tax) at (–10, –15), which avoids much larger environmental costs not shown in the matrix.
- This is a classic Prisoner's Dilemma.

AO3 (if in favour of coordination):

- Climate is a global public good; the marginal social benefit of emission reductions is not captured by individual countries → free-riding problem.
- Without coordination, each country has an incentive to defect (tragedy of the commons), leading to sub-optimal emissions.
- Coordinated policy (e.g. Paris Agreement, EU ETS) corrects this by aligning private with social incentives.
- Reduces 'carbon leakage' where firms relocate to countries without carbon pricing.

AO4 (if against / evaluation):

- Game theory shows non-cooperation is the Nash outcome – enforcement is very difficult; international agreements lack binding penalties.
- Developing countries may argue coordinated policy is unfair – they have contributed less to historical emissions.
- Different countries have different marginal abatement costs; a uniform policy may be inefficient.
- National circumstances matter: coal-dependent economies face higher adjustment costs.
- Repeated-game logic: with ongoing interactions, cooperation is more likely than the matrix (a single-shot game) suggests.

- Allow any other sensible point.

26. With reference to the data above, consider how effective the UK Government's sugar tax has been in correcting market failure. (8 marks)

Band	AO2 (3 marks)	AO3 (2 marks)	AO4 (3 marks)
3	3 – Excellent Both numerical (obesity rates, NHS cost, reformulation %) and textual data used well.		3 – Excellent Strong counter-argument that the tax may not correct market failure / may cause government failure, with strong use of theory.
2	2 – Good Numerical and textual data used.	2 – Good Strong line of argument for tax effectiveness.	2 – Good Strong counter-argument; theory more limited.
1	1 – Limited application	1 – Limited analysis	1 – Limited evaluation
0	0	0	0

Indicative content:

AO2:

- Adult obesity has continued to rise (22% → 26% between 2010 and 2023) despite the tax, suggesting limited direct impact on BMI outcomes.
- However, sugar content in taxed drinks has fallen by 43% – a significant supply-side effect through reformulation.
- Revenue of £300m can fund health education programmes.
- NHS cost of £6.5bn indicates substantial external costs.
- Regressive impact: deprived children twice as likely to be obese; sugar tax may fall more heavily on lower-income households who spend a larger share on sugary drinks.

AO3:

- Sugary drinks involve negative externalities of consumption (NHS costs imposed on taxpayers) and information failure (long-term health effects underestimated by consumers).
- An indirect tax internalises the externality, raising the private cost towards the social cost and reducing consumption to the socially optimal level ($Q_s \rightarrow Q^*$).
- The 43% reformulation suggests the tax has successfully changed producer behaviour, reducing sugar intake even without reducing consumption volume.
- Welfare gain: triangle area between MSC and MPC up to original Q_{eq} is recovered.

AO4:

- Obesity is caused by many factors (sedentary lifestyles, calorie-dense foods, portion sizes); a sugar tax alone cannot solve it.
- PED for sugary drinks may be inelastic, so quantity response is limited.
- Regressive nature raises equity concerns.
- Substitution to other high-calorie products not covered by the tax.
- Government failure risk: unintended consequences; information asymmetry about 'correct' tax rate.
- However, reformulation effect is sustained and the tax has been revenue-positive; more accurate to see this as a partially successful intervention requiring complementary policies (education, exercise promotion).

27. Using the information above and relevant economic theory, discuss the extent to which investment in education is the most effective way to promote economic development. (8 marks)

Band	AO2 (3 marks)	AO3 (2 marks)	AO4 (3 marks)
3	3 – Excellent application All columns used well to support arguments.		3 – Excellent evaluation Strong counter that education is not sufficient or not the most effective; good use of theory.
2	2 – Good application	2 – Good analysis	2 – Good evaluation
1	1 – Limited	1 – Limited	1 – Limited
0	0	0	0

Indicative content:

AO2:

- Some correlation between adult literacy and HDI: Botswana (88%, HDI 0.693) vs Ethiopia (52%, HDI 0.498).
- But not perfect: DR Congo has 80% literacy yet the lowest HDI (0.457).
- Life expectancy alone does not predict HDI – Rwanda has the highest LE (70) but HDI below Kenya.
- GDP per capita is highly correlated with HDI (Botswana highest in both).
- Ghana and Kenya have similar literacy (80% vs 83%) but very different GDP per capita.

AO3 (in favour of education):

- Education raises human capital → higher labour productivity → higher long-run growth and incomes.
- Education generates positive externalities: lower birth rates, better health outcomes, reduced crime.
- Reduces information failure and corruption over time.
- Enables structural transformation from agriculture to manufacturing and services.
- A key component of the HDI itself, so investment in education mechanically improves the HDI.

AO4 (evaluation):

- DR Congo's experience shows high literacy alone is not sufficient – institutional quality and political stability matter more.
- Alternative policies may be more effective: health investment (cf. Rwanda's LE gains), infrastructure, governance reform, trade liberalisation.
- Education requires complementary inputs: qualified teachers, textbooks, physical infrastructure – all costly.
- Brain drain can offset benefits – educated workers may emigrate to HICs.
- Returns to education depend on quality of jobs available – graduate unemployment is high in many LEDCs.
- Timescales: education investment takes 10–20 years to fully materialise; other policies may have faster effects.
- Aid, trade, debt relief and FDI also play important roles.

Assessment Objective Breakdown

Question	AO1	AO2	AO3	AO4	Total	QS
1-20	6	14	-	-	20	14
21	2	-	1	-	3	2
22	2	-	2	2	6	2
23	2	1	-	-	3	1
24	2	-	2	-	4	2
25	-	3	2	3	8	4
26	-	3	2	3	8	4
27	-	3	2	3	8	4
Total	14	24	11	11	60	33